The Culture of Business, Finance and the Economy

Class 11 – 14 april

Dr. Juan M. del Nido

First semester 2026

Today
Consultants: the work of producing

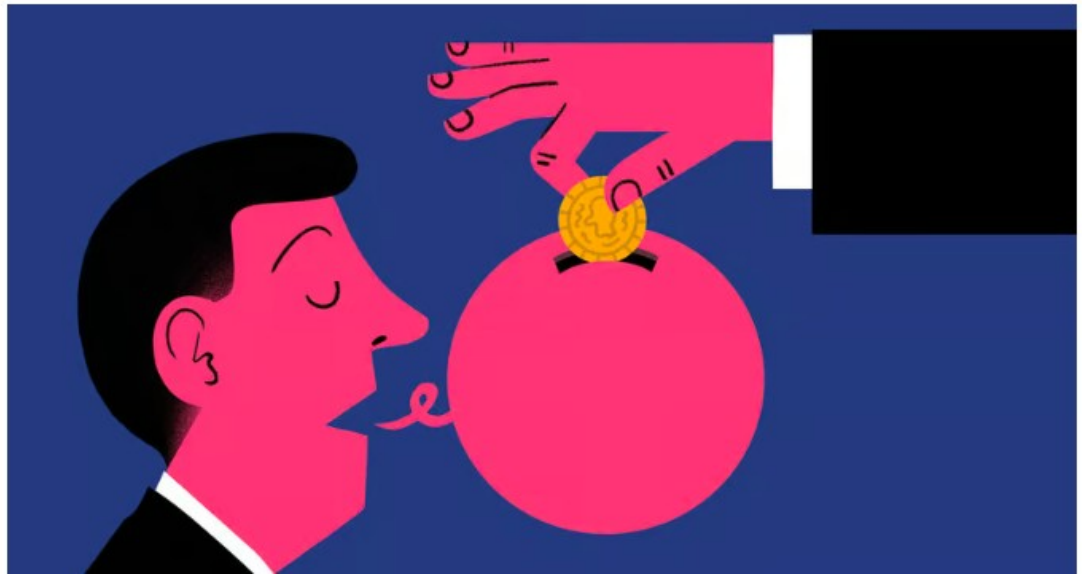
The Economist

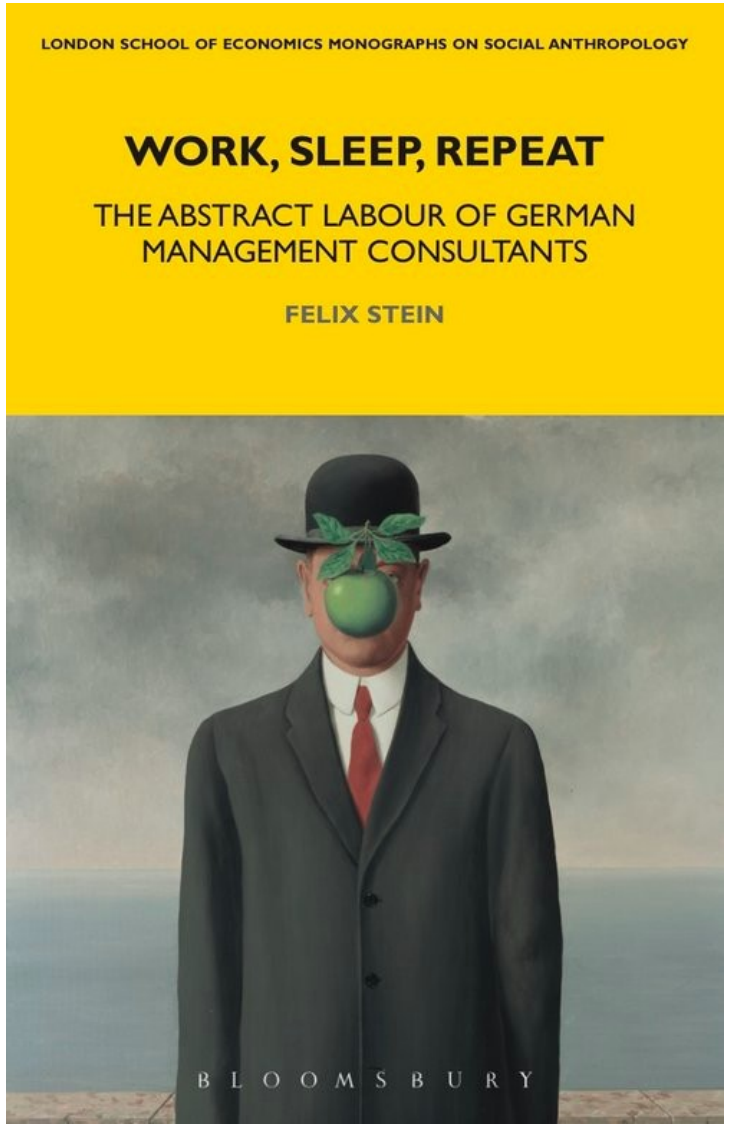
Menu | Weekly edition | The world in brief | Search

Leaders | Consultants under fire

Do McKinsey and other consultants do anything useful?

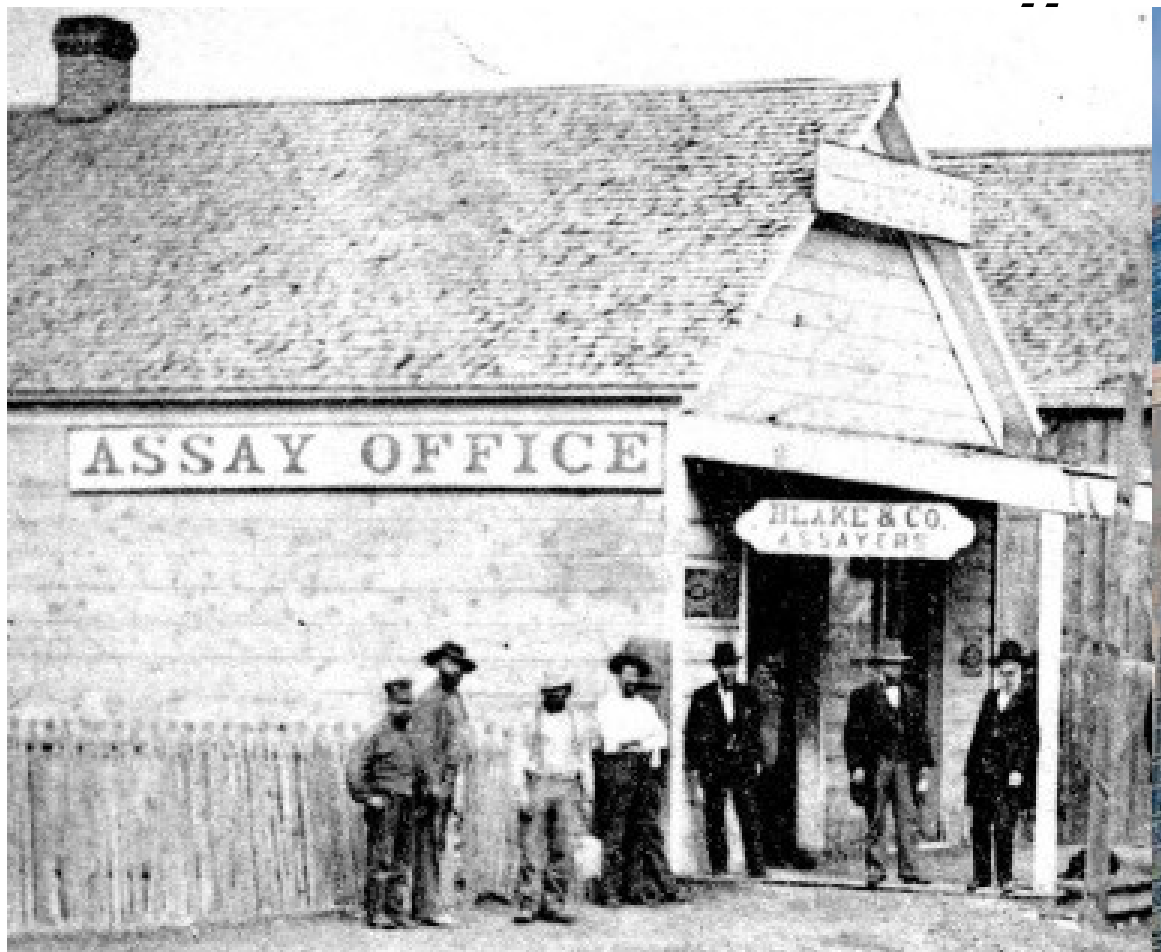
Though hated, they often provide a valuable service to the economy

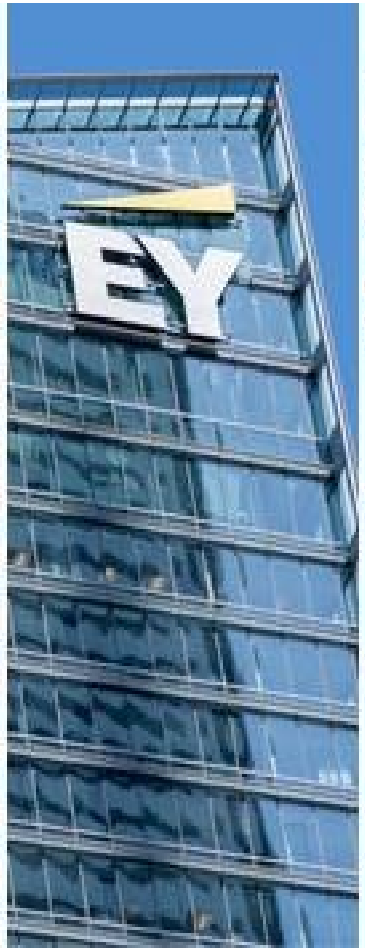


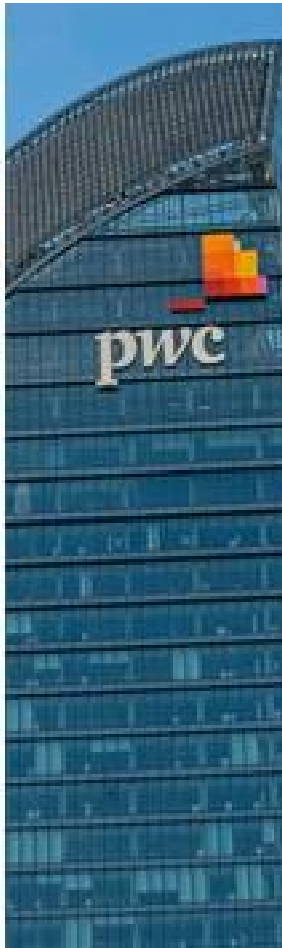


Recap

Consulting Cultures: The Beginnings
From practical mavericks to white collar







A broad view

BBC Sign in | Home | News | Sport | Business | Innovation | Culture | Travel | ··· | Search BBC

NEWS

Home | Israel-Gaza war | War in Ukraine | Climate | Video | World | US & Canada | UK | Business | Tech | More

Business | New Tech Economy | Artificial Intelligence | Technology of Business | Africa Business | Paths to Success

What does a management consultant do anyway?

5 January 2016

Top stories

PM refuses to say if he will sack Rayner if she broke rules

19 minutes ago

LIVE Man guilty of sex assaults that sparked Epping asylum hotel protests

7.3k viewing

LIVE All Lisbon funiculars suspended for inspection after crash that killed at least 16

5.7k viewing

Forbes

Forbes

FORBES > LEADERSHIP > CAREERS

This Is What It Takes To Become A Successful Management Consultant

Terina Allen Contributor

I cover careers, strategic leadership and executive development.

Follow

Feb 26, 2020, 05:46pm EST

Forbes

What do management consultants actually do?

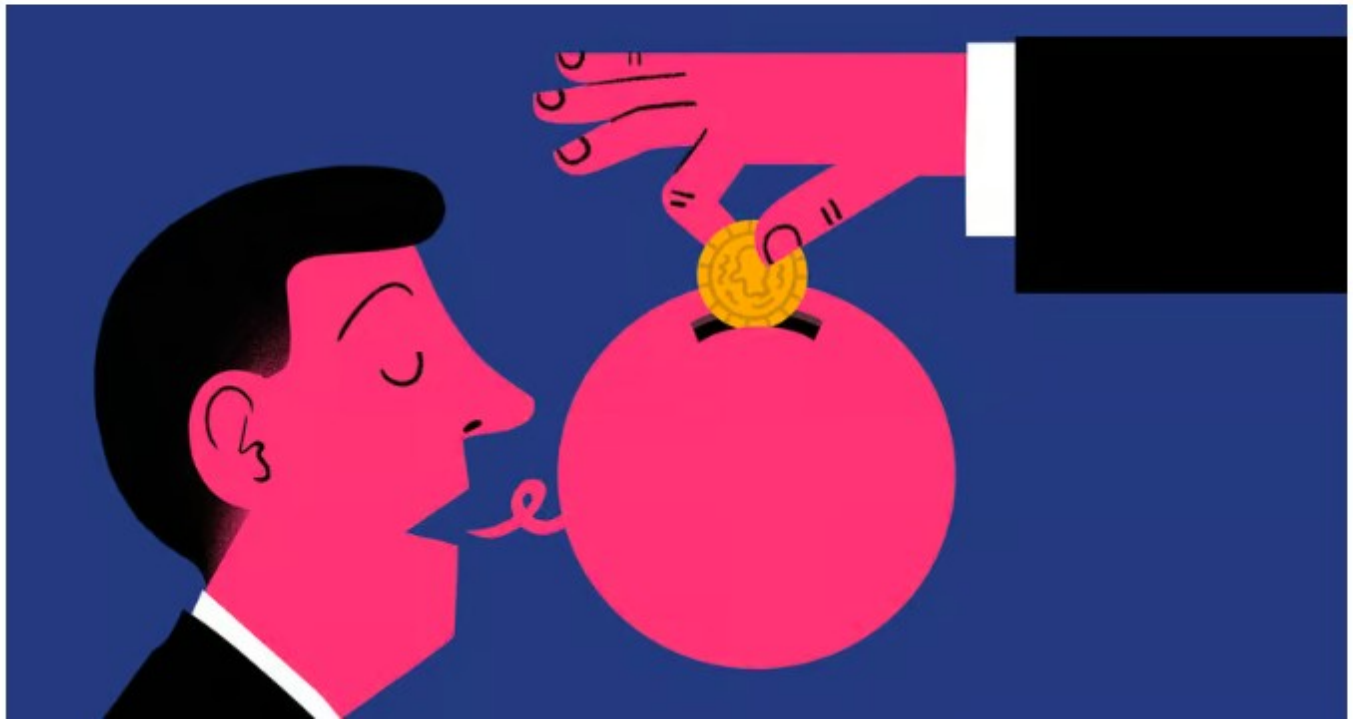
The core work of a management consultant tends to fall within one or more of these three categories:

1. **Functional Expertise and Specializations**. Management consultants provide industry counsel, advice and functional expertise in specialized areas such as strategy, mergers, governance, reorganizations, organization design, strategic leadership, operations, finance, risk management, digital transformation, information technology, organizational change management, organization development, human resources, talent management, advertising, and marketing to name a few.
2. **Objective Analyses and Assessments**. A management consultant serves as an objective third party to conduct in-depth research and analysis and then provides an unbiased opinion and perspective on difficult matters and complex business problems and issues.
3. **Project Management**. Management consultants work directly with senior leadership and internal project teams to deliver hands-on project management and leadership consulting to include project implementation, execution and measurement.

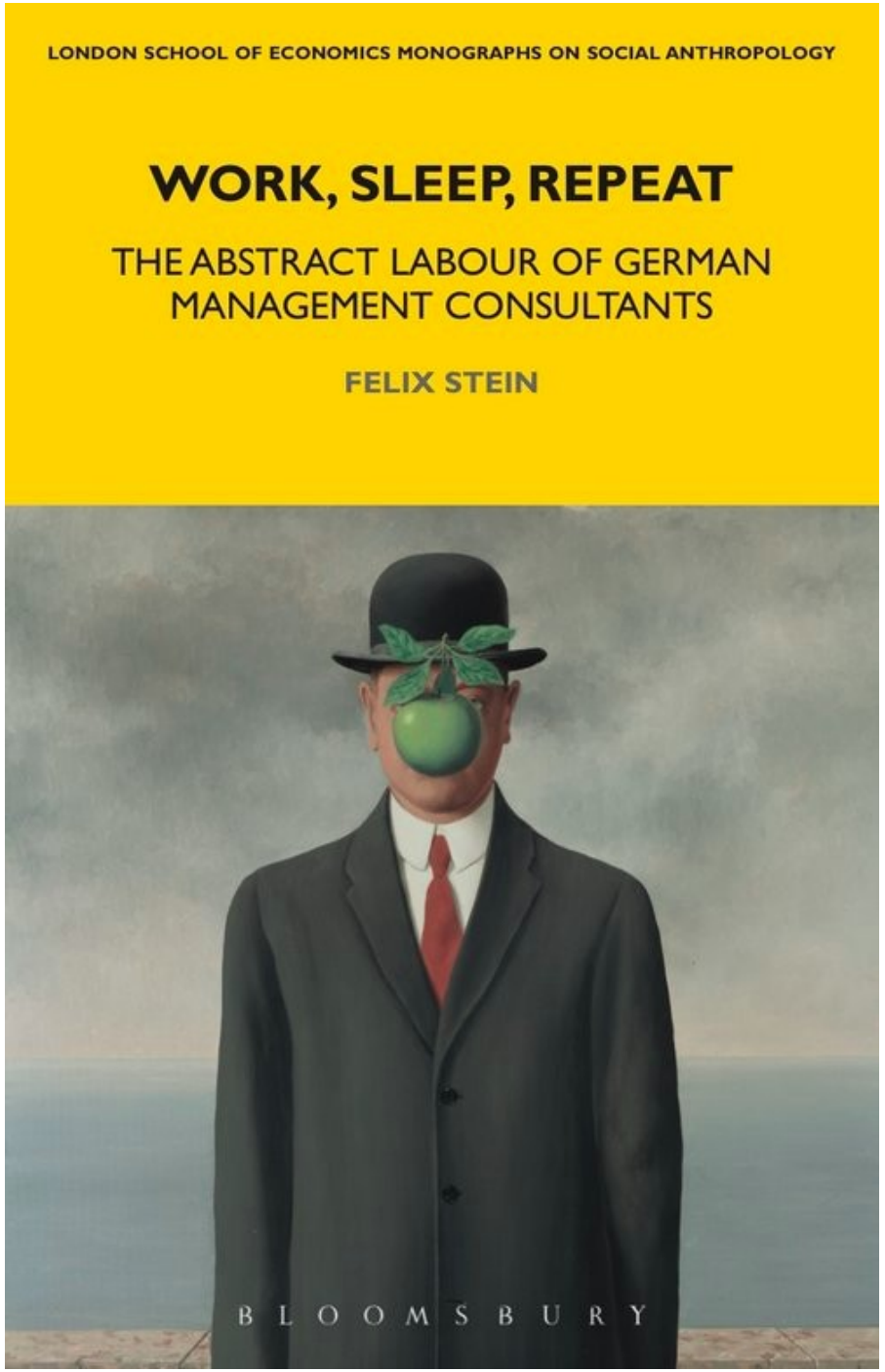
Leaders | Consultants under fire

Do McKinsey and other consultants do anything useful?

Though hated, they often provide a valuable service to the economy



We'll follow Felix



After the job interview with Strategy Partners, I joined a consulting training camp. During a session in which we were taught the basic functionalities of Microsoft Excel, Rahul, a middle aged consultant turned software coach, welcomed us thus: ‘All that remains after a client has paid millions of dollars for a [consulting] project is a deck [of printed PowerPoint slides], about this big.’

We were encouraged to focus on speed and on constantly finding a purposive use of time. We were given case studies in teams, but we were systematically given far too much literature and information to digest in far too little time. Our trainers reminded us we would never be able to solve the cases in the time provided unless we structured our work efficiently within our teams, and they regularly entered our offices to remind us we only had a few minutes left until we needed to present our findings.

Trainers had us roleplay: one of them pretended to be a distracted and hectic CEO to whom we had to present project results over just a few seconds in an imaginary elevator or in an imaginary taxi.

Being a management consultant combined a strong belief in our own importance with a considerable degree of cluelessness as to what we actually did: we mostly created Excels and Microsoft PowerPoint slides.

The opaque nature or our work was equally startling in the light of the extraordinary salaries and bonuses that consultants received: from around EUR 60k per year for the most junior consultants to over EUR 1M for some of the profit-sharing senior consultants known as partners (2013).

What do management consultants actually do?

They sustain, produce, and reproduce abstract work

1. Consultants produced and sold abstractions: Excels, Powerpoints, spreadsheets, “management”, “impact”, “efficiency”, and other abstractions far removed from anything concrete (intellectual separation)

2. Their work changed the work of people they didn’t even know. In fact, it was often possible to successfully complete a consulting project without spending hardly any time with low-level employees at all. (separation from people)

3. They were several steps removed from actual economic value creation. Consultants neither made nor sold the goods and services around which the work of client companies was supposed to be organized (separation from processes)

4. Consulting always remained opaque, both for client companies in general and for us. The nature of what we did created a myriad of moments of ambiguity, opacity and uncertainty (separation from concreteness)

Who were we?

Recent graduates from top universities. Not because of our skill, intelligence or experience but because we were ambitious, respected hierarchy and had been trained into working long hours towards clearly defined deadlines.

(rites of passage, class 3)

Tales from an overworked City

Dozing in the toilet and never saying goodnight: the gruelling life of bank interns and juniors

examples

https://www.mckinsey.com/careers/search-jobs/jobs/associateintern-14918

Break

Example: the paper mill project

I began working on a project in a paper mill. We had to look at the mill’s work processes and pinpoint the mill’s ‘growth potential’.

Our question was ‘how can the mill improve its operations (e.g. reducing costs, improving productivity) in order to further contribute to corporate competitiveness?’ We had slightly over two weeks. We knew nothing about paper or about paper mills.

We arrived a day before our project started so as to be able to begin work in the mill fresh on Monday morning. During the shuttle ride to our hotel, (the boss) explained to us that mill management expected us to find at least EUR 30m worth of ‘potential’. 50% thereof were to be found in labour costs.

We had daily morning meetings, during which everyone reported the work they were about to do, as well as daily evening debriefs, summarizing the ‘improvement potential found’ over the past few hours. We minimized lunch breaks and dinners and generally continued work after dinner until late at night. We slept an estimated average of six hours per night.

One way of ‘finding potential’ was to examine forklift drivers. We toured the mill, interviewed managers and observed the routines of forklift drivers. We noted where and how enormous paper reels were moved from the production line to storage areas, when and how often trucks came in, and how long it took to load them. We estimated averages for each main activity.

Forklift activities were then colour coded into the categories ‘value added’ (green), ‘enabler’ (yellow) and ‘non-value added’ (red). Our assumption was that if the red category of activities was ‘cut out’, either by retraining staff or rearranging the warehouses, the same amount of work could be done with less staff, saving the mill money and increasing profits accordingly.

The difference between “what was” and “potential” we expressed in a percentage change, (i.e. the same work could be done in about 80 per cent of the time it currently took), which could be translated into people, whose salaries constituted ‘improvement potential’, that is, profit. Thus, by timing the work of forklift drivers, one could establish, for example, that ‘warehouses 2 and 3 show potential of over 51 per cent’.

Similar analyses were carried out throughout the paper mill, in their research and development labs, raw material storage faculties and at points of interaction with suppliers and transport companies. In each instance, recommendations of how to speed up work processes were converted into potential monetary gains.

Later, Lucien, a consultant from France, was writing a PowerPoint slide meant as a plan for our client for how to sell private travel insurance products in Asia over the next five years. ‘I know nothing about insurance; absolutely nothing’ he remarked, but he managed to convince others of his ‘expertise’…and the cycle began again.

how can people who know nothing about a topic - paper mills, insurances – write plans involving several millions of euros? Do clients not spot their ignorance? Are clients using consultants simply to enforce what has already been decided? Did *no one* inside the paper mill know how to cut 50% of the workers?

Because of what they know
AND
because of what they don’t know

Management consultants provide legitimacy

Why legitimacy?

Actual managers have little power. Corporations are hugely bureaucratized and technocratised.

Managers today tend to be equals in education, work pathways, lifestyle and so on to those they manage… so they have little legitimacy over them.

‘[Consultants are] troops that you can send in somewhere. A little bit like a rapid deployment force, when you expect resistance and do not want to burn yourself or your own men.’

Legitimacy because of what they don’t know

Lucien and I were outsiders. We were not part of the client’s company, had not worked in insurance before, I wasn’t even French, we were new to the business world and new to the specifics of *this company*: We perfectly fit the notion of an outsider’s perspective.

We could bring knowledge from other companies and other experiences with other management. But also our company as a whole had worked in the health insurance sector before, with their competitors, so they wouldn’t go seeking their advice, but we would – once anonymized, the insights were transferable. We even had powerpoints ready, organized per type of industry.

As outsiders we were less ‘bound up’ in social relations like loyalties and grudges… we didn’t *really* know anyone. Even if the information needed for a solution did exist somewhere in the company, it would take an outsider to judge its truthfulness and assess its importance.

Legitimate because of what they do know

We were assigned offices inside the client company, we were given email accounts, employee cards, canteen access, and everything that goes with being inside, and a part of, a company. We could see the company working and identify from inside what needed attention. Also we had access to all heads of sections and middle-management, and had regular meetings with them. So in this sense, we were so inside we often handled privileged or confidential information. People had been instructed to work with us and share stuff.

Our Sales contacts had info on which countries in Asia might make for interesting markets and on how to start selling insurance products there. We spent a lot of our time creating slides for management with that information from Sales. We handled knowledge that was *already* available within the client company, but unattainable for top- and middle management.

So consultants are hired as technologies of detachment that shore up legitimacy for a decision, a project, a line of thinking with their abstractions.

Very often decision that had already been made and just needed that legitimacy boost, or decisions that were hanging in the air until someone had the courage to do it.

This is how one interviewee from Munich put it:

We are often hired by the top so as to push through decisions that have already been taken or have already become clear. This is not necessarily adding value. In a way we serve to facilitate decisions. [people can say] 'but consulting firm XY said we should [do this]' so it will get done. I was recently working for a renewable energy client, who was deep in the red. The client had to get restructured because revenues had broken away. Everyone knew they were only making half the revenues but still had the same amount of staff… . This cannot work sustainably, since they had been making continuous losses for five years … . Sooner or later people will have to go, so a consulting firm was eventually getting hired to find out who, and to put its name behind all of this.

To conclude

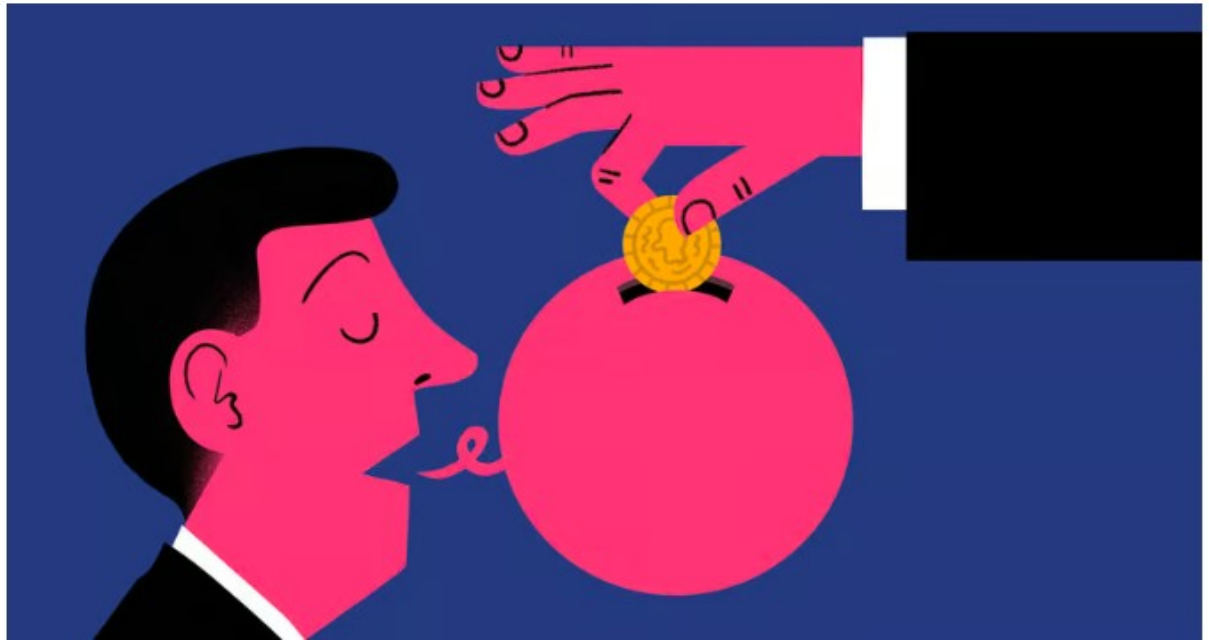
The Economist

Menu | Weekly edition | The world in brief | Search

Leaders | Consultants under fire

Do McKinsey and other consultants do anything useful?

Though hated, they often provide a valuable service to the economy



The Exam

5 points to make

1. Giving an argument structure and firmness

Example:
What is the relationship between cakes and heat?

2. Wordcounts and tidying up arguments

It's very important to note that Isaac Newton accomplished very important things that definitively changed the future of science. For example, he wrote down the formula for gravity for the first time in history, which has served as the basis for many important technological developments since then.

47 words

Newton was the first to write the formula for gravity, key to many technological advances.

15 words

32 superfluous words – 68.1%

Not about narrative style, but about clarity in arguments and “look how much I wrote”

3. Memorising dates, names, places

4. vagueness

“here appears the concept of the cyborg”

“through cyborgs feedback is important”

“some people were for X and some were against X, so these are relative problems”

Incomplete notes or argument structure not clear

5. Be exhaustive